

 Department of Children & Family Services <i>Building a Stronger Louisiana</i>	Division/Section	Family Support
	Chapter No./Name	4 – Economic Stability (ES)
	Part No./Name	P – Strategies to Empower People Program (STEP)
	Section No./Name	P-200-STEP Administration
	Document No./Name	P-220-STEP Tax Credits
	Effective Date	July 1, 2021

I. STATEMENT OF POLICY

Tax credits for hiring clients who qualify can be used as an incentive for employers. For participants who find employment, tax credits can ease the transition from welfare-to-work.

P-221-STEP PO EMPLOYER TAX CREDITS

P-221-1 - PO Work Opportunity Tax Credit

The Work Opportunity Tax Credit (WOTC) is one tool in a diverse toolbox of flexible strategies designed to help move people into gainful employment and obtain on-the-job experience. It joins other tax credits, education, and workforce training and development programs that help American workers with *** barriers to **** employment prepare for good jobs; ***** * ease **** their transition from job to job; benefit from the creation of effective regional economic development strategies; and create high performance workplaces.

The new employee must belong to one of the nine target groups listed below:

A. IV-A (TANF) Recipient

A member of a family that is receiving or recently received Temporary Assistance to Needy Families (TANF), or benefits under a successor program for any 9 months during the 18-month period ending on the hire date.

B. Veteran

A veteran who is a member of a family that is receiving or recently received SNAP benefits (formerly known as Food Stamps) for at least a 3-month period during the past 15 months; and for individuals who begin to work for an employer after May 25, 2007, the veteran group is expanded to include "disabled veterans" who are **entitled** to compensation for a service-connected disability and who, during the one-year ending on the hiring date, were: a) discharged or released from active duty in the U.S Armed Forces, or b) unemployed for a period or periods totaling at least 6 months.

C. Ex-Felon

An ex-felon is an individual who has been convicted of a felony under any statute of the United States or any state; and has a hire date which is not more than one year after the last date on which the applicant was so convicted or was released from prison or is a convicted felon who is participating in a pre-release program.

D. Empowerment Zone/Enterprise Community/Rural Renewal County (EZ/EC/RRC)

An 18-39 year old resident of one of the federally designated Empowerment Zone (EZ), Enterprise Communities (EC) or Rural Renewal County (RRC) or Rural Renewal Empowerment Zone.

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E. Vocational Rehabilitation Referral

Applicant *** has **** a physical or mental disability which results in a substantial handicap to employment; and was referred to the employer upon completion of, or while receiving, rehabilitative services pursuant to an individualized written plan of employment (IWPE) under a state plan for vocational rehabilitation services approved under the Rehabilitation Act of 1973 (as amended, 1998), a vocational rehabilitation program for veterans or an employment network under the Ticket to Work program. Proof of participation in any of these programs is required.

F. Supplemental Nutritional Assistance Program (SNAP) Recipient

A member of a family that is receiving or recently received Supplemental Nutritional Assistance Program (SNAP) benefits (formerly known as Food Stamps), and is at least 18, but not yet 40 years old, on the hire date, Individual is a member of a family receiving assistance under a food stamp program for the 6-month period ending on the hire date; or receiving such assistance for at least 3 months of the 5-month period ending on the hire date.

G. Supplemental Security Income (SSI) Recipient

An individual receiving Supplemental Security Income (SSI) benefits for any month ending within the 60-day period ending on the hire date.

H. Long-Term Family Assistance Recipient

An individual who is a member of a family that received Temporary Assistance to Needy Families (TANF) or benefits under a successor program for at least 18 consecutive months ending on the hire date or has received family assistance for a total of at least 18 months (whether or not consecutive) beginning after August 5, 1997 and has a hire date that is not more than two (2) years after the end of the earliest 18-month period or whose TANF eligibility expired under a federal or state law after August 5, 1997, and who was hired within two years after their eligibility expired.

I. Long-Term Unemployment Recipient

Qualified long-term unemployment recipient is any individual who on the day before the individual begins work, or, if earlier, the day the individual completes the IRS Form 8850 as a prescreening notice in accordance with the certification provisions described in §51(d)(13)(A)(ii) of the Code, is in a period of unemployment that is: (i) not less than 27 consecutive weeks; and (ii) includes a period (which may be less than 27 weeks) in which the individual received unemployment compensation under State or Federal law (see IRS notice 2016-22).

Ineligible for the Work Opportunity Tax Credit are:

- Employers not covered by Federal Unemployment Tax ACT (FUTA);

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- Relatives of the employer;
- Non-qualifying rehires; and
- Federally subsidized on-the-job training positions.

P-221-2-STEP - PO Enterprise Zone Program

The Louisiana Enterprise Zone Program, *** or EZ program **** is a jobs incentive program that provides Louisiana income and franchise tax credits to a new or existing business located in Louisiana creating permanent net new full-time jobs, and hiring at least 50% of those net new jobs from one of four targeted groups. The benefit provides:

- Either a one-time \$3,500 or \$1,000 ******* tax credit for each net new job created, and
- A rebate of state sales and use taxes paid on qualifying materials, machinery, furniture, and/or equipment purchased or a 1.5% refundable investment tax credit on the total capital investment, excluding tax exempted items. The rebate shall not exceed \$100,000 per net new job.

This incentive program is open to any Louisiana *** businesses (new or existing) ** ***** that will:

Create a minimum of five permanent net new full-time jobs within 24 months of their project start date or increase their current nationwide workforce by 10% within the first 12 months.

******* Hire 50% of the net new jobs *** created** from one or more of the **certification requirements from these** targeted groups:

- **Residents: someone living in **** Enterprise Zone within the state.
- People receiving an approved form of public assistance.
- People lacking basic skills. ******* A person performing below a ninth grade proficiency in reading, writing, or mathematics.
- People unemployable by traditional standards.

For additional information contact:

Joyce Metoyer
Program Administrator
Enterprise Zone Program
Louisiana Economic Development
Joyce.Metoyer@la.gov
Ph. 225-342-0485 *******

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II. PROCEDURES

P-221-1 - PR Work Opportunity Tax Credit (WOTC)

All * new adult employees must work a minimum of 120 or ** 400 hours ***; * Summer Youth must work at least 90 days, between May 1 and September 15 before the employer is eligible to claim the tax credit. The original, current, ETA form 9061 and the IRS form 8850 with original signatures must be completed and submitted ** with a postmark date no later than 28 days after the start date, to the Louisiana Workforce Commission - WOTC Unit, P. O. Box 94094 Baton Rouge, LA, 70804. Employer is required to keep copies of application and obtain and retain proof of mailing. Electronic signature is acceptable for either employer or employee, but not both on one application.

If additional WOTC information is needed, an email can be sent to * wotc@lwc.la.gov. **

A. IV-A (TANF) Recipient

The Louisiana Workforce Commission (LWC) WOTC Unit is currently able to verify this information.

B. Veteran

The first-year wages taken into account for “disabled veterans” are capped at \$12,000. A copy of the applicant's DD-214 or Official Discharge Papers that contain the dates and proof of military service and a service connected disability (if applicable) is required to certify the applicant for this target group.

Qualified Veteran has five certifications with different allowable tax credits:

- Veterans receiving SNAP benefits \$2400.00
- Disabled Veterans hired within one year after active duty \$4800.00
- Disabled Veterans unemployed for 6 months prior to hire date \$9600.00
- Veterans unemployed for 4 weeks prior to hire date \$2400.00
- Veterans unemployed for 6 months prior to hire date \$5600.00

C. Ex-Felon

The Louisiana Workforce Commission can access information for individuals who have been sentenced to a prison term as a result of a felony conviction by a parish judge in Louisiana. If the

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conviction was committed in a state other than Louisiana, documentation of that conviction, including the date of conviction/release must be submitted with the application.

D. Empowerment Zone/Enterprise Community/Rural Renewal County (EZ/EC/RRC)

To check the address status, log on to: <http://egis.hud.gov/ezrclocator/>.

Rural Renewal Parishes can be found on-line by visiting the following: www.usps.gov. **

The designated Rural Renewal Community Parishes in Louisiana are: **Bienville, Claiborne, Franklin, Jackson, Morehouse, St. Mary, Tensas, Vernon, and Webster.**

The following documentation should be included with the certification request:

- Proof of Age (a copy of the employee's driver's license or birth certificate).
- Proof of Address (a copy of the IRS W-4, utility bill or similar mailing, showing an address in an Empowerment Zone, Enterprise Community, Renewal Community or Rural Renewal Community).

The address on the IRS 8850 and the proof of address documentation must match.

E. Vocational Rehabilitation Referral

There are no procedures associated with this policy.

F. Supplemental Nutritional Assistance Program (SNAP) Recipient

The Louisiana Workforce Commission can verify this information for Supplemental Nutritional Assistance Program (SNAP) recipients.

G. Supplemental Security Income (SSI) Recipient

Proof of benefits must be attached to the certification request for those individuals in this target group.

H. Long-Term Family Assistance Recipient

The Louisiana Workforce Commission can verify information of Long-Term Family Assistance recipients if benefits were received in Louisiana.

I. Long-Term Unemployment Recipient

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These new hires must begin work for an employer on or after January 1, 2016 through December 31, 2019.

III. FORMS AND INSTRUCTIONS

[IRS Form 8850](#)
[Individual Characteristic Form \(ETA 9061\)](#)

IV. REFERENCES

<https://www.laworks.net/WOTC/>
<https://www.opportunitylouisiana.com/bousiness-incentives/enterprise-zone>